TAKING INDIA TO THE WORLD

Exports are already at a record high, and new trade agreements could give it a further boost. But a slowing global economy is cause for worry

By M.G. Arun



Photograph by **BANDEEP SINGH**

THE HEADWINDS THAT INDIA'S TRADE and commerce faced over the past four years were unprecedented. While the pandemic gave a big jolt to trade, the Russian invasion of Ukraine in February 2022 once again created uncertainties around geopolitical stability, a prerequisite for robust trade. However, a host of policies by the Centre—including many that have simplified exim processes—not only helped India keep its head above water but also brought about a phenomenal growth in overall exports.

India's overall exports grew 14 per cent and stood at a record $770 billion-plus (Rs 64 lakh crore) in 2022-23, aided by robust services exports. Meanwhile, merchandise exports grew 6 per cent to $447 billion (Rs 37 lakh crore), which is a new high but lower than what was expected at the start of the last financial year. There was also a 50 per cent rise in exports of electronic goods in 2022-23. India is also emerging as a key supplier of medicines, cars and machine parts, textiles and clothing and food products to Russia. The country is also India's largest supplier of crude oil, ahead of West Asian countries, accounting for 27 per cent of India's crude imports in February 2023, up from just 6 per cent in April 2022. India-Russia trade is estimated to have hit a record $39.8 billion (Rs 3.3 lakh crore) in 2022–23.

Robust exports were a key factor in India's post-Covid recovery—after dipping to $291.8 billion (Rs 24 lakh crore) in 2020-21, merchandise exports rose to $422 billion (Rs 34.8 lakh crore) in 2021-22.

Buoyed by the good performance on the exports front, Piyush Goyal, the Union minister of commerce and industry, on March 31 announced India's new Foreign Trade Policy (FTP), 2023, which outlined an ambitious plan to clock $2 trillion (Rs 165 lakh crore) in exports by 2030. The FTP proposes to shift from an incentives-based regime to a remission and entitlement-based one to achieve this goal. It is based on four pillars: incentive to remission—taxes and levies borne on the exported products should be either exempted or remitted to exporters; export promotion through collaboration; ease of doing business, reduction in transaction cost and e-initiatives and developing districts as export hubs; and streamlining the policy on SCOMET (special chemicals, organisms, materials, equipment and technologies) items.

Goyal said the government will engage in massive trade outreach globally in terms of sectors and nations in the coming months to push exports. India is already pursuing a host of free trade agreements. Following the Economic Cooperation and Trade Agreement with Australia and the Comprehensive Economic Partnership Agreement with the UAE, more negotiations are under way with the European Union, the UK,